

NMLS SAFE MLO

National Exam Study Notes

Comprehensive Exam Prep — Exam Date: May 22, 2026

5 Topic Areas | 125 Questions | 75% Passing Score

Based on OnCourse Learning 20-Hour NMLS SAFE Course

TOPIC AREA	WEIGHT	~SCORED Qs
Federal Laws & Regulations	23%	~23
General Mortgage Knowledge	23%	~23
Loan Origination Activities	25%	~25
Ethics	16%	~16
SAFE Act / NMLS / State Law	13%	~13
TOTAL SCORED	100%	100 + 25 pilots = 125

EXAM OVERVIEW & HIGH-PRIORITY NUMBERS

Must-Know Numbers

Number / Timeframe	What It Means
3 Business Days	GFE/Loan Estimate delivery after loan application; Right of Rescission period
3 Business Days	Closing Disclosure (CD) delivery before consummation
7 Business Days	Minimum waiting period between LE issuance and closing
10 Business Days	Borrower has this long to provide intent to proceed after LE
15 Days	Notice BEFORE servicing transfer effective date (both servicers must send)
60 Days	Grace period with new servicer — no late fees if payment sent to old servicer
20 Business Days	Servicer must ACKNOWLEDGE Qualified Written Request (QWR)
60 Business Days	Servicer must RESPOND/RESOLVE QWR
30 Days (ECOA)	Lender must notify applicant of action on complete application
25 Hours	HOEPA high-cost counseling wait before closing
90 Days	HMDA LAR submission deadline after calendar year end
5 Years	HMDA LAR retention; RESPA settlement statement retention
3 Years	TILA: record retention; Right to rescind for HOEPA violations
20 Hours	SAFE Act pre-licensing education minimum
8 Hours	SAFE Act annual CE requirement
75%	NMLS passing score — need 75 of 100 scored questions
30 Days	Minimum wait between NMLS exam retakes
6 Months	Wait after 3 consecutive exam failures
5 Years	License lapse requiring retest
120 Days	Transitional license maximum duration — NOT renewable
\$25,000	Max penalty per act/omission (Model State Law)
7 Years	Bar on license for most felony convictions
LIFETIME (EVER)	Permanent bar — felony fraud, dishonesty, breach of trust, money laundering

TOPIC 1: FEDERAL LAWS & REGULATIONS (23%)

1.1 RESPA — Real Estate Settlement Procedures Act

Applies to federally related mortgage loans on 1-4 family residential property. Implemented by **Regulation X**. Enforced by **CFPB**.

Key RESPA Disclosures

Disclosure	When Required	Key Rule
Special Information Booklet	Within 3 business days of application	Explains settlement costs; not required for refis
Loan Estimate (LE)	Within 3 business days of application	Replaces GFE; standardized TRID format
Affiliated Business Arrangement (AfBA)	At time of referral	Must disclose ownership interest; cannot require use
Closing Disclosure (CD)	3 business days before consummation	Replaces HUD-1; must match LE within tolerances
HUD-1 (legacy)	At or before closing	Still required for reverse mortgages
Servicing Transfer Notice	15 days before effective date	Both old AND new servicer must send notice
Annual Escrow Statement	Within 30 days of escrow year end	Shows projections and shortages/surpluses

RESPA Section 8 — Kickbacks & Fee Splitting

- 1• Section 8(a): Prohibits giving or receiving ANYTHING OF VALUE for referrals incident to a RESPA-covered loan
- 2• Section 8(b): Prohibits splitting an unearned fee with anyone
- 3• ANY referral fee = RESPA violation regardless of amount — even a pizza or golf outing
- 4• Penalty: criminal — up to 1 year + \$10,000 fine; civil — 3x amount of charge
- 5• AfBA ALLOWED if: (1) disclosure made, (2) no required use, (3) fee = fair market value for actual services

★ **EXAM ALERT: The ONLY truly safe approach: accept NOTHING of value for referrals. Even nominal gifts can be violations.**

RESPA Escrow Rules

- 6• Lender may collect 1/12 of annual taxes/insurance per month PLUS up to 2-month cushion
- 7• Surplus over \$50 must be returned within 30 days of annual escrow analysis
- 8• QWR: servicer must acknowledge in 20 business days; resolve in 60 business days
- 9• During QWR period: servicer CANNOT report adverse credit information

1.2 TILA — Truth in Lending Act

Implemented by **Regulation Z**. Purpose: meaningful disclosure of credit costs so consumers can compare offers. Enforced by CFPB.

APR, Finance Charge & Key Concepts

- 10• APR (Annual Percentage Rate): cost of credit as a yearly rate INCLUDING fees — always $\geq$ the note rate
- 11• Finance Charge: total dollar cost of credit (interest + origination fees + points + other charges)
- 12• Amount Financed: loan amount MINUS prepaid finance charges
- 13• APR tolerance: regular loans $\pm 1/8\%$ (0.125%); irregular loans $\pm 1/4\%$ (0.25%)
- 14• If APR increases beyond tolerance after CD issued → new CD + new 3-business-day waiting period

Right of Rescission

- 15• Applies to: refinances and home equity loans on PRIMARY RESIDENCE — NOT purchase money loans
- 16• 3 business days from: consummation, delivery of rescission notice, OR delivery of all material disclosures
- 17• Extended to 3 YEARS if proper disclosures not provided
- 18• Must deliver 2 copies of rescission notice to each owner of the property

HOEPA — High-Cost Mortgage Rules

- 19• Triggered when: $APR > APOR + 6.5\%$ (first lien) or $APOR + 8.5\%$ (subordinate lien)
- 20• Or: points and fees $> 5\%$ of loan amount (for loans $\geq \$20,000$)
- 21• PROHIBITED: balloon payments, negative amortization, prepayment penalties after 36 months, loan flipping, equity-based lending
- 22• Mandatory counseling: borrower must receive housing counseling at least 25 HOURS before closing
- 23• Extended rescission right: 3 years if HOEPA disclosures not provided

Qualified Mortgage (QM)

- 24• QM = safe harbor / rebuttable presumption of Ability to Repay (ATR) compliance
- 25• QM requirements: max 30-year term, no neg-am, no interest-only, no balloon (except small creditors), points/fees $\leq 3\%$, max DTI 43% (or GSE/FHA guidelines)
- 26• ARM QM: payment must be calculated at the MAXIMUM rate in the first 5 years
- 27• Non-QM ARM: must consider ability to repay over the ENTIRE loan term

1.3 HMDA — Home Mortgage Disclosure Act

Implemented by **Regulation C**. Requires covered institutions to collect and report data on mortgage applications/loans to identify discriminatory lending.

28• LAR (Loan Application Register): submitted to CFPB by March 1 following calendar year; retained 5 years

29• Data collected: race, sex, ethnicity, income, loan purpose, action taken, property location

30• HMDA does NOT prohibit discrimination — it only enables government monitoring

★ **EXAM ALERT: HMDA collects data to detect redlining but does NOT itself enforce anti-discrimination. ECOA and Fair Housing Act do that.**

1.4 ECOA — Equal Credit Opportunity Act

Implemented by **Regulation B**. Prohibits discrimination in any aspect of a credit transaction.

ECOA Protected Classes

Protected Class	Notes
Race, Color, Religion, National Origin	Original classes
Sex	Includes gender identity and sexual orientation
Marital Status	Cannot ask if married/divorced/widowed to discriminate
Age	Cannot discriminate because applicant is of legal age to contract
Receipt of public assistance income	Cannot deny because income is from government programs
Exercise of rights under Consumer Credit Protection Act	Cannot penalize for exercising legal rights

ECOA Notice Timing

Situation	Timing	Required Action
Complete application — approved	Within 30 days	Notice of approval
Complete application — denied	Within 30 days	Written notice with specific reasons for denial
Incomplete application	Within 30 days	Notice of incompleteness; 9 months to notify of withdrawal
Counter-offer not accepted	90 days	Adverse action notice if applicant doesn't accept counter

31• Lender must provide copy of appraisal within 3 business days of receiving it, and at least 3 days before closing

32• Redlining: refusing to lend in geographic areas based on race/national origin — illegal

33• Reverse redlining (predatory): targeting minority communities with unfavorable terms — illegal

1.5 Fair Housing Act (1968)

Prohibits discrimination in the sale, rental, and financing of housing. Enforced by HUD.

7 Protected Classes (Fair Housing Act)

Protected Class	Added	Notes
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Race	1968	Original class
Color	1968	Original class
National Origin	1968	Original class
Religion	1968	Original class
Sex	1974	Added by amendment
Familial Status	1988	Families with children under 18; pregnant women
Handicap / Disability	1988	Physical/mental disability; protects associated persons

★ EXAM ALERT: Fair Housing Act = 7 classes. ECOA has MORE classes (also marital status, age, public assistance income). Know the difference!

1.6 Gramm-Leach-Bliley Act (GLB) — Safeguards Rule

- 34• Requires written information security program for financial institutions
- 35• Must designate a security coordinator; annual penetration testing required
- 36• Customer information must be disposed of within 2 YEARS of last use
- 37• Privacy Rule: privacy notice at relationship start and annually; customers can opt out of sharing with non-affiliated third parties

1.7 Other Federal Laws

Law	Reg / Enforcement	Key Rule
FCRA — Fair Credit Reporting Act	FTC / CFPB	Free annual credit report; 7 yr (negative items), 10 yr (bankruptcy); adverse action notice with CRA name
BSA / PATRIOT Act	FinCEN	CTR: cash transactions >\$10,000; SAR: suspicious activity within 30 days; structuring (smurfing) is illegal
Dodd-Frank (2010)	CFPB	Created CFPB; ATR/QM rules; anti-steering; LO compensation cannot vary by loan terms; UDAAP authority
FIRREA (1989)	State appraiser boards / USPAP	Established state-certified appraisers; USPAP standards; appraisal independence

TOPIC 2: GENERAL MORTGAGE KNOWLEDGE (23%)

2.1 Essential Mortgage Formulas

Formula	Calculation
Periodic Interest (monthly)	$\text{Annual Rate} \div 12 \times \text{Outstanding Balance}$
Per Diem Interest	$\text{Annual Rate} \times \text{Balance} \div 365$
Down Payment	$\text{Purchase Price} \times \text{Down Payment \%}$
Loan Amount	$\text{Purchase Price} - \text{Down Payment}$
LTV	$\text{Loan Amount} \div \text{LESSER of (Purchase Price or Appraised Value)}$
CLTV	$(1\text{st} + 2\text{nd} + \text{Other Liens}) \div \text{Property Value}$
HCLTV	Includes FULL credit line of HELOC, even if not fully drawn
Front-End DTI	$\text{Monthly Housing Expense (PITI)} \div \text{Gross Monthly Income}$
Back-End DTI	$\text{Total Monthly Debt Payments} \div \text{Gross Monthly Income}$
PITI	$\text{Principal} + \text{Interest} + \text{Taxes} + \text{Insurance (+ PMI if applicable)}$
Monthly PMI	$(\text{Loan Amount} \times \text{MI Rate}) \div 12$
Discount Points	1 point = 1% of loan amount; permanently reduces rate

★ EXAM ALERT: LTV always uses the LESSER of purchase price or appraised value — not both, not the higher one.

2.2 Loan Type Comparison

Feature	Conventional	FHA	VA	USDA
Min Down	3-5%	3.5% (580+ score)	0%	0%
MI/Guarantee	PMI if LTV>80%	UFMIP 1.75% + Annual MIP	VA Funding Fee (no PMI)	Upfront + Annual fee
Max Back-End DTI	45-50% (AUS)	43% (higher w/CF)	41% guideline	41%
Min Credit Score	620 typical	500 (10% down); 580 (3.5% dn)	620 typical	640 typical
Loan Limits	Conforming (\$766,550+)	FHA limits by county	No limit	Rural areas only
Income Limits	None	None	None	Yes (AMI-based)
Prepay Penalty	Possible	Prohibited	Prohibited	Prohibited
Owner-Occupancy	Not always required	Required	Required	Required

2.3 FHA Mortgage Insurance (MIP)

38• Upfront MIP (UFMIP): 1.75% of loan amount; can be financed into loan

39• Annual MIP: varies by loan term and LTV; collected monthly

40• MIP duration: if original LTV $\leq 90\%$ — 11 years; if original LTV $> 90\%$ — LIFE OF LOAN

41• No down payment limit on gifts; non-occupant co-borrower allowed

2.4 Adjustable Rate Mortgages (ARMs)

Component	Definition / Example
Index	External benchmark: SOFR, CMT, COFI, COSI — changes periodically
Margin	Fixed spread added to index; set at origination (e.g., 2.75%)
Fully Indexed Rate	Index + Margin = current rate (e.g., 5.25% + 2.75% = 8.00%)
Initial / Teaser Rate	Starting rate; may be discounted below fully indexed rate
Initial Cap	Max rate change at first adjustment (often 2% or 5%)
Periodic Cap	Max rate change per subsequent adjustment (often 2%)
Lifetime Cap	Max total rate change from initial rate (often 5% or 6%)
Floor	Minimum rate; cannot go below floor (often = margin)
Common Structures	3/1, 5/1, 7/1, 10/1 — fixed years / then adjusts annually
Cap Notation	5/2/5 = 5% first adj, 2% per subsequent, 5% lifetime
SOFR	Replaced LIBOR; based on overnight Treasury repo transactions
CMT	Constant Maturity Treasury; weekly 1-year Treasury bill average

★ **EXAM ALERT: QM ARM: qualify at MAX rate in first 5 years. Non-QM ARM: must consider ability to repay over ENTIRE loan term.**

2.5 Discount Points & Buydowns

42• 1 point = 1% of loan amount; permanently lowers the interest rate

43• Rule of thumb: 1 point $\approx$ 0.125% rate reduction (varies by market)

44• 2-1 Buydown: rate 2% below note rate in Year 1; 1% below in Year 2; note rate from Year 3

45• **IMPORTANT:** Borrower qualifies at the NOTE RATE, NOT the bought-down rate, for 2-1 buydowns

46• Temporary buydown funds held in escrow by servicer; lost if loan is refinanced

2.6 Other Mortgage Products

47• Reverse Mortgage (HECM): age 62+; no monthly payments; due on death, sale, or 12+ months non-occupancy; independent counseling **REQUIRED**; non-recourse (never owe more than home value)

48• Construction Loan: short-term; interest-only during construction; Single-close vs. Two-close

49• HELOC: revolving credit line; variable rate; draw period + repayment period

50• Interest-Only Loan: no principal reduction during I/O period; payment jumps when amortization begins

51• Balloon Loan: large lump sum due at end of shortened term

2.7 Key Mortgage Documents

52• Promissory Note: borrower's promise to repay; personal liability instrument

- 53• Deed of Trust: 3-party (trustor/borrower, trustee, beneficiary/lender); ~30 states; non-judicial foreclosure available
- 54• Mortgage: 2-party (mortgagor/borrower, mortgagee/lender); ~20 states; judicial foreclosure only
- 55• Reconveyance: deed returned to borrower when loan paid off (deed of trust states)
- 56• Short sale: lender approves sale below mortgage balance; releases lien; affects credit

TOPIC 3: LOAN ORIGATION ACTIVITIES (25%)

3.1 Complete Application — What Triggers Disclosures

A complete application exists when the lender has received all 6 pieces of information: borrower name, income, SSN/credit authorization, property address, estimated value, and loan amount requested. The 3-business-day clock for LE starts here.

3.2 Disclosure Timeline (TRID)

Disclosure	Timing	Key Rule
Loan Estimate (LE)	Within 3 bus. days of complete app	Cannot charge fees (except credit report) before borrower receives LE
Intent to Proceed	Borrower: 10 bus. days after LE	LE offer expires; lender can proceed once received
Closing Disclosure (CD)	3 bus. days before consummation	If APR changes >tolerance: new CD + new 3-day wait
Right of Rescission	At consummation	Non-purchase only; 3 days; 2 copies per owner
Special Info Booklet (SIB)	3 bus. days of application	Not required for refinances
Appraisal Copy	3 days after receipt; 3+ days before close	ECOA requirement; must give to borrower regardless
Servicing Disclosure	3 bus. days of application	And: 15 days advance notice before transfer
ARM Disclosures	At application	Program disclosure + Consumer Handbook on ARMs (H-4(D))
AfBA Disclosure	At time of referral	Cannot require use of affiliate
ECOA Adverse Action	30 days after decision	Must include specific reasons for denial

★ EXAM ALERT: 'Business Day' for LE and CD = ALL calendar days EXCEPT Sundays and federal public holidays.

3.3 LE Tolerance Categories

Category	Tolerance	Items Included
Zero tolerance	Cannot increase at all	Lender origination charges, transfer taxes, fees paid to unaffiliated third parties when borrower cannot shop, affiliate services
10% tolerance (aggregate)	Can increase up to 10% total	Recording fees; third-party settlement services borrower can shop from lender list
Unlimited tolerance	Can change freely	Prepaid interest, insurance premiums, escrow reserves, services borrower chose outside lender list

3.4 Underwriting — The Four C's

C	Measures	Key Metrics / Docs
CAPACITY	Ability to repay	DTI ratios, employment history (2 yrs), income stability, pay stubs, W-2s, tax returns
CAPITAL	Assets and reserves	Down payment source, liquid assets, retirement funds, gift letters, 2 months bank statements

CREDIT	Credit history	Credit score, payment history, collections, BK/foreclosure waiting periods
COLLATERAL	Property value	Appraisal, LTV ratio, property type, condition, comparable sales

3.5 Income Documentation Rules

- 57• W-2 employees: 2 years W-2s + 30 days pay stubs + 2 months bank statements
- 58• Self-employed: 2 years personal AND business tax returns; P&L; statement; 25%+ ownership = self-employed
- 59• Commission income >25%: 2-year average required
- 60• Overtime/bonus: 2-year average; must be likely to continue
- 61• Rental income: Schedule E; typically 75% of gross rent used (25% vacancy factor)
- 62• Social Security/pension: award letter; can gross up by 25% if non-taxable
- 63• Alimony/child support: must continue 3+ years; documented court order
- 64• Part-time/second job: 2-year history of receiving income

3.6 Appraisals

Approach	Best Used For	Method
Sales Comparison (Market Data)	Residential — PRIMARY approach	Compare subject to 3+ recent comparable sales; adjust for differences
Cost Approach	New construction, unique properties	Land value + Depreciated cost to rebuild improvements
Income Approach	Investment/rental properties	Net Operating Income (NOI) ÷ Capitalization Rate

- 65• Minimum 3 comparable sales; within 90 days preferred; 12 months max
- 66• Lender uses LESSER of appraised value or purchase price for LTV calculation
- 67• Desk review: quick review of existing appraisal; Field review: physical inspection

★ **EXAM ALERT: Valuation Independence (Reg Z §1026.42): MLO CANNOT select appraisers or coerce/bribe them. CAN ask for additional comparables or correction of factual errors.**

3.7 Title Insurance

- 68• Title search: examination of public records to verify ownership and encumbrances
- 69• Lender's title insurance (ALTA): protects lender; required for most loans
- 70• Owner's title insurance: protects buyer; optional but strongly recommended
- 71• Premium paid ONCE at closing; protects for the life of ownership
- 72• Covers: forged deeds, undisclosed heirs, liens, encroachments, survey errors
- 73• Does NOT cover: known defects disclosed before closing; liens created by owner after policy date
- 74• Lien priority: generally by recording date; property taxes ALWAYS have highest priority

3.8 Closing Process

Topic	Key Rule
Wet Settlement	Funded and keys delivered at closing table; same day
Dry Settlement	Documents signed; funds disbursed later; common in some western states

Table Funding	Lender funds at closing; loan immediately assigned to another lender
RON (Remote Online Notarization)	Fully remote; audio-video; notary must be in state where PROPERTY is located
IPEN	In-Person Electronic Notarization; all electronic; notary physically present
Power of Attorney	Must be valid, notarized, reference property address; CANNOT be MLO, lender, or title company
ESIGN Act / UETA	Electronic signatures have same legal effect as paper wet signatures
Servicing Transfer	15-day advance notice; 60-day borrower grace period with new servicer

TOPIC 4: ETHICS (16%)

4.1 Mortgage Fraud

Type	Who	Examples
Fraud for Housing	Borrowers	Misrepresenting income/assets/employment; straw buyer; occupancy fraud; silent second
Fraud for Profit	Industry insiders (MLOs, appraisers, title agents, attorneys)	Kickback schemes, air loans, equity stripping, identity theft — ~80% of dollar losses

Common Fraud Schemes

- 75• Air loan: fabricated property and/or borrower; no real collateral
- 76• Equity stripping: predatory loans drain borrower equity via excessive fees/interest
- 77• Fraudulent flipping: selling property repeatedly at inflated prices using inflated appraisals
- 78• Straw buyer: nominee buys property for someone who cannot qualify
- 79• Silent second: undisclosed secondary financing not disclosed to first lender
- 80• Shotgunning: multiple simultaneous applications without disclosure to lenders
- 81• Occupancy fraud: claiming primary residence to get better rate; actually investment property

Federal Fraud Laws

Statute	Description	Penalty
18 U.S.C. §1001	False Statements Act — false statements to federal agencies	5 years
18 U.S.C. §1341	Mail / Wire Fraud	20 yrs (30 yrs if financial institution)
18 U.S.C. §1344	Bank Fraud — defrauding financial institution	\$1M fine and/or 30 years
18 U.S.C. §1014	False Statements to Lenders	\$1M fine and/or 30 years
18 U.S.C. §§1956-1957	Money Laundering	\$500K fine and/or 20 years
18 U.S.C. §1028	Identity Document Fraud	Up to 15 years
18 U.S.C. §371	Conspiracy	5 years
FERA 2009	Fraud Enforcement Reform Act	Enhanced penalties post-financial crisis

4.2 Fraud Red Flags

Area	Red Flags to Watch For
Documents	Alterations, erasures, different fonts/ink, inconsistent dates, photocopied signatures, correction fluid
Income/Employment	Round numbers with no deductions, inconsistent employer info, untraceable employer, unusually high income
Address	Doesn't match tax records, P.O. box used as property address, recently changed
SSN	Doesn't match credit report, sequential numbers, belongs to deceased person, multiple borrowers same SSN

Appraisal	No comp sales support the value, large adjustments, sales data doesn't reconcile, appraiser outside normal area
Deposits	Large unexplained deposits, cash deposits just before closing, transfers from undisclosed accounts

4.3 UDAAP — Unfair, Deceptive, or Abusive Acts or Practices

Element	Three-Part Test	Examples
UNFAIR	Causes substantial injury; NOT reasonably avoidable by consumer; injury NOT offset by benefits	Hidden fees, unconscionable terms, surprise payment increases
DECEPTIVE	Misleading or likely to mislead; consumer's REASONABLE interpretation; MATERIAL misrepresentation	False advertising, burying key terms, misleading APR claims
ABUSIVE	Interferes with ability to understand terms OR takes unreasonable advantage of lack of understanding, inability to protect interests, or reasonable reliance	Targeting vulnerable consumers, trapping in products they don't understand

UDAAP Civil Penalties (Per Day)

Tier	Violation Type	Penalty Per Day
Tier 1	Non-knowing violation	\$7,217
Tier 2	Reckless disregard	\$36,083
Tier 3	Knowing violation	\$1,443,275

★ EXAM ALERT: CFPB can bring UDAAP actions even without a specific rule violation. Consumer harm is the standard.

4.4 Appraisal Independence

MLO CANNOT Do	MLO CAN Do
Coerce, threaten, or intimidate appraiser	Ask appraiser to reconsider using additional comps borrower provides
Bribe or offer value contingent on achieving certain value	Request correction of factual errors in the report
Condition payment on closing or value result	Obtain multiple valuations (all must be considered)
Exclude appraiser for prior low value opinion	Discuss property description and scope of work
Require specific comparable sales to be used	Order desk review or field review

4.5 Anti-Discrimination Ethics

- 82• Redlining: refusing to lend in geographic areas based on race/national origin — violates FHA & ECOA
- 83• Steering: directing borrowers to products based on protected class (e.g., higher-rate loans to minorities)
- 84• Blockbusting: inducing panic selling by suggesting minority groups moving in — violates FHA
- 85• Disparate Treatment: treating similarly situated borrowers differently based on protected class — INTENTIONAL
- 86• Disparate Impact: neutral policy that disproportionately harms a protected class — even UNINTENTIONAL is illegal

87• MAP Rule (Regulation N): prohibits unfair/deceptive mortgage advertising; 6 categories of prohibited misrepresentations

TOPIC 5: SAFE ACT / NMLS / STATE LAW (13%)

5.1 SAFE Act Overview

SAFE Mortgage Licensing Act of 2008 — establishes minimum standards for MLO licensing/registration. Implemented by state regulators and federal banking agencies.

Regulation	Covers	Requirement
Regulation G	Depository institution employees (banks, credit unions, thrifts)	REGISTRATION with NMLS — not a state license
Regulation H	Non-depository institution employees (mortgage companies, brokers)	STATE LICENSURE through NMLS

88• NMLS = Nationwide Multistate Licensing System and Registry

89• Unique identifier assigned to each MLO — must appear on ALL loan documents and advertising

90• MLO definition: takes residential mortgage application AND offers or negotiates loan terms (BOTH required)

91• Loan Processor/Underwriter: performs only clerical duties at direction of licensed MLO — no license needed (unless independent contractor)

5.2 Pre-Licensing Education

Hours	Required Subject
3 hours	Federal law and regulations
3 hours	Ethics — fraud, consumer protection, fair lending
2 hours	Nontraditional mortgage products
12 hours	Electives (may include state-specific content)
20 hours TOTAL	Federal minimum requirement

92• States may require ADDITIONAL hours beyond the 20-hour federal minimum

93• Same course from same provider cannot be retaken in consecutive years

5.3 Testing Requirements

Rule	Detail
Passing score	75% — need 75 correct out of 100 scored questions
Retake waiting period	30 days minimum between attempts
After 3 consecutive failures	Must wait 6 MONTHS before next attempt
License lapsed 5+ years	Must retake and pass the exam — no exceptions
Score validity	No expiration while license remains active and current

5.4 Continuing Education (CE)

Hours	Required Subject
3 hours	Federal law and regulations
2 hours	Ethics — fraud, consumer protection, fair lending
2 hours	Nontraditional mortgage products
1 hour	Elective
8 hours TOTAL	Annual CE requirement — every year of licensure

94• CE must be completed annually; cannot take same CE course in consecutive years

95• Instructor teaching CE can count those hours as their own CE credit

96• Cannot retroactively complete CE for a prior year ('catch-up' not allowed)

5.5 Background & Financial Responsibility

97• Criminal background check required; credit report reviewed

98• PERMANENT / LIFETIME BAR: any felony involving fraud, dishonesty, breach of trust, or money laundering — at ANY time in life

99• 7-YEAR BAR: any other felony conviction within 7 years preceding application

100• Financial responsibility: unpaid judgments, tax liens, or foreclosures = lacks financial responsibility

101• Surety bond / net worth / state fund: required; penal sum reflects dollar volume of loans originated

★ EXAM ALERT: Lifetime bar vs. 7-year bar: fraud/dishonesty/money laundering = EVER. Other felonies = 7-year lookback. This distinction is frequently tested.

5.6 Transitional Licensing (EGRRCPA §106)

102• Provides TEMPORARY AUTHORITY to originate while pursuing full state license

103• Who qualifies: (1) registered MLO (depository) transitioning to non-depository; (2) out-of-state licensed MLO moving to new state

104• Duration: 120 days OR until license granted/denied/withdrawn — whichever comes FIRST

105• CANNOT apply if previously denied, revoked, or withdrew to avoid denial

★ EXAM ALERT: Transitional authority automatically terminates at 120 days — NOT renewable. Must obtain full license before expiration.

5.7 Prohibited Acts & Penalties

Prohibited Act	Consequence
Operating as MLO without valid license	Criminal/civil penalties; cease and desist
Employing/associating with unlicensed person required to be licensed	License action; fines
Fraud, misrepresentation, or material omissions	License revocation; criminal prosecution
Paying/receiving undisclosed kickbacks	RESPA violation + license action
Bait and switch — advertising unavailable products	UDAAP + license action
Improperly influencing appraiser	License action; Dodd-Frank violation

Discrimination based on protected class	Civil rights violation; license action
Refusing to make records available to state regulator	License suspension/revocation

- 106• Model State Law max penalty: \$25,000 per act or omission, per day
- 107• License suspension: temporary; license revocation: long-term or permanent
- 108• Reinstatement possible after suspension with conditions (may include additional education)

5.8 License Exemptions

- 109• Registered MLOs at depository institutions (only need NMLS registration, not state license)
- 110• Natural persons selling their OWN property (one per year)
- 111• Attorneys performing incidental origination as part of law practice
- 112• Licensed real estate brokers performing origination as licensed under state law
- 113• HUD-approved nonprofits for their own programs
- 114• Government agencies or instrumentalities

QUICK REFERENCE — CHEAT SHEETS

Federal Laws at a Glance

Law	Implementing Reg	Enforced By	Primary Purpose
RESPA	Regulation X	CFPB	Settlement cost disclosure; prohibit kickbacks (Sec. 8)
TILA	Regulation Z	CFPB	APR/finance charge disclosure; ATR/QM rules
ECOA	Regulation B	CFPB	Prohibit lending discrimination; adverse action notices
HMDA	Regulation C	CFPB	Mortgage data reporting to detect discriminatory patterns
Fair Housing Act	HUD regulations	HUD / Courts	7 protected classes; prohibit housing discrimination
GLB Act	Various	FTC / CFPB	Consumer financial privacy; Safeguards Rule
FCRA	Various	FTC / CFPB	Consumer credit reporting accuracy; adverse action
BSA/PATRIOT Act	31 CFR / FinCEN	FinCEN / DOJ	AML; SAR filings; CTR for >\$10K cash
Dodd-Frank	Multiple Regs	CFPB	Created CFPB; UDAAP; ATR/QM; LO compensation
SAFE Act	Reg G & Reg H	State regulators	MLO licensing/registration minimum standards
FIRREA	USPAP	State appraiser boards	Appraiser licensing; appraisal independence
HOEPA	Regulation Z	CFPB	High-cost mortgage protections and prohibitions

Disclosure Timing Master List

Disclosure	Required By	Timing
Loan Estimate (LE)	RESPA/TILA (TRID)	3 business days of COMPLETE application
Intent to Proceed	Borrower action	Borrower has 10 business days after LE
Closing Disclosure (CD)	RESPA/TILA (TRID)	3 business days BEFORE consummation
Right of Rescission	TILA Reg Z	At consummation; 3 business days to cancel (non-purchase only)
Special Info Booklet	RESPA Reg X	3 business days of application (not refis)
Appraisal Copy	ECOA Reg B	3 days after receipt AND 3+ days before closing
Servicing Disclosure	RESPA Reg X	3 days of application; transfer: 15 days advance
ARM Initial Disclosures	TILA Reg Z	At time of application
AfBA Disclosure	RESPA §8(c)(4)	At time of referral
ECOA Adverse Action	ECOA Reg B	30 days after action on complete application
QWR Acknowledgment	RESPA Reg X	20 business days after receipt
QWR Resolution	RESPA Reg X	60 business days after receipt
HMDA LAR Submission	HMDA Reg C	By March 1 (90 days after calendar year end)

Pre-Licensing vs. CE Comparison

Subject	Pre-Licensing Hours	Annual CE Hours
Federal law and regulations	3 hours	3 hours
Ethics (fraud, consumer protection, fair lending)	3 hours	2 hours
Nontraditional mortgage products	2 hours	2 hours
Electives / state-specific	12 hours	1 hour
TOTAL	20 hours	8 hours

Final Exam Strategy

- 115• Watch for: 'EXCEPT,' 'NOT,' 'MOST likely,' 'BEST describes' — these change the correct answer
- 116• RESPA Section 8: anything of value for a referral = violation — even nominal gifts
- 117• Business day vs. calendar day: know which applies to each disclosure
- 118• LTV rule: always use LESSER of purchase price or appraised value
- 119• Right of Rescission: NON-purchase loans only (refinances, HELOCs on primary residence)
- 120• ECOA covers ALL aspects of credit — application, underwriting, pricing, closing, servicing
- 121• MLO compensation: cannot be based on loan terms (rate, APR, product type, loan amount above threshold)
- 122• Fraud for Profit (industry insiders) = ~80% of dollar losses; Fraud for Housing = borrower fraud
- 123• If torn between two answers: choose the option that MOST PROTECTS the consumer
- 124• NUMBERS TO KNOW COLD: 3 days (LE), 3 days (CD), 7 days (min wait), 15 days (servicing), 60 days (grace period), 20 hrs (pre-license), 8 hrs (CE), 75% (pass), 30 days (retake), 6 months (3-fail wait), 120 days (transitional), \$25,000 (max penalty)

GOOD LUCK ON YOUR EXAM — MAY 22, 2026!